

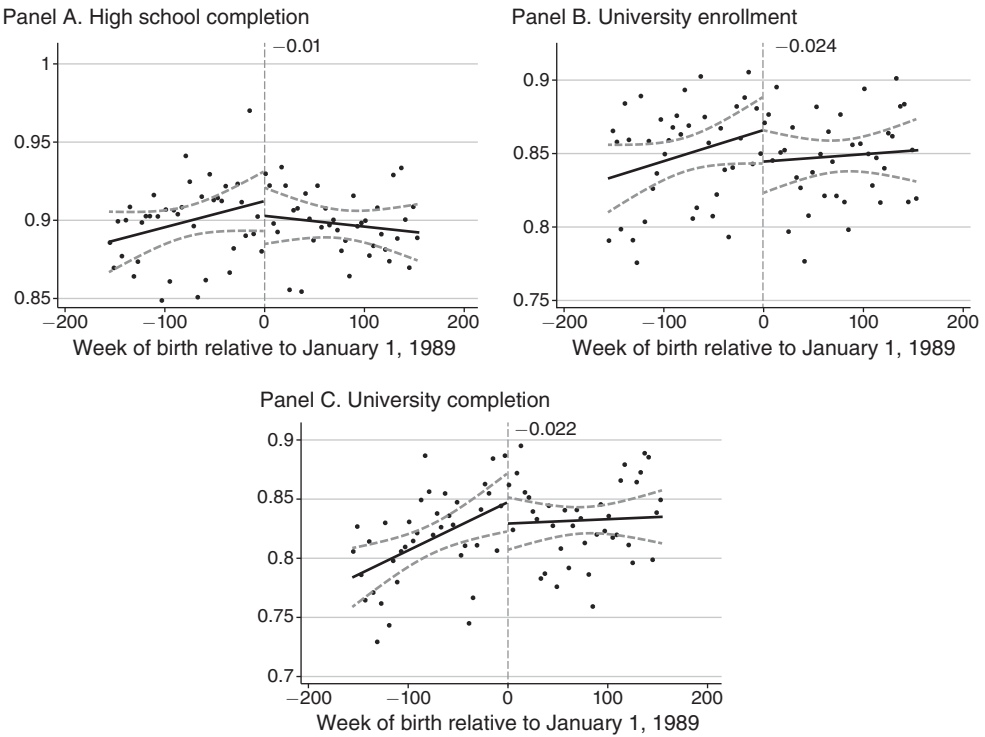


FIGURE 3. AVERAGE OUTCOMES FOR CHILDREN BORN IN DIFFERENT WEEKS AROUND JANUARY 1, 1989

Notes: The plots show the average value of each outcome (completing high school within four years from the start (panel A), enrolling in university after high school (panel B), and completing university by age 28 (panel C)) for students born in the different weeks around the first week of 1989. Each dot represents the average for four weeks, while the linear fit (solid line) uses weekly data. The dashed line is the 95 percent confidence interval of such fit. The numbers on top of the figures are the estimates of the parameter on a dummy for being born after the cutoff date (December 31, 1988), from a regression of the outcome on the dummy for being born after the cutoff, a linear trend in the week of birth (allowed to differ before and after the cutoff, with weeks of birth normalized to 0 on the first week of 1989), and 52 dummies for being born in each week of the year. SE are clustered at the week-of-birth level.

fitting these averages separately before and after the reform.³⁸ In all three education outcomes, we observe an increasing trend before the reform and a flattening out after the reform. The decline is more pronounced for university enrollment and completion; with university enrollment declining by about 2.4 percentage points and university completion declining by 2.2 percentage points.³⁹ The standard errors for these estimates are smaller than those in the difference-in-difference specification, and the effect for university enrollment is significant at the 10 percent level.

Finally, in Table 3 we present a descriptive analysis of the heterogeneous impact of the reform by quintiles of middle school GPA of the students, using the same

³⁸To remove the week-of-birth fixed effects, we first obtain the residuals from a regression of the outcome on week-of-birth fixed effects (52 dummies) and then add the estimated value of the constant term to these residuals.

³⁹We recover these estimates from RDD equations similar to equation (5), where the *Post* dummy appears on its own and without controlling for middle school GPA. See equation (E.3) in Supplemental Appendix E for details.